



Services & Rates Agreement

www.nri-distribution.com

Ph: 888-662-8811

Quote Expires 15d from delivery: 3/11/2025

Effective Date: 1/1/2025
End Date: 12/31/2027
Region: Kamloops
Currency: CAD
Terms: NET30
Invoice Cycle: 2x/mth
GRI: 2.5%

Account: Tentree
230-1275 Venables St.
Vancouver BC, V6A2E4
Canada

Contact: JP Mondani
Phone: 778-999-4778
Email: jpmondani@tentree.com

FULFILLMENT SERVICES

Fixed fee per Inbound Receipt	\$10.00	Fixed fee per Outbound B2C Order	\$1.25
		Fixed fee per Outbound B2B Order	\$2.00

Product Group	UOM	Inbound Receiving	Outbound Handling	Order Type
Apparel & Accessories	each	\$0.07	\$0.65	B2C
Apparel & Accessories			\$0.50	B2B
Apparel & Accessories	case	n/a	\$2.00	B2B

* All mixed-SKU cartons will be repackaged per surcharge rate.
* Receiving rates include a 5% audit. Auditing at inbound beyond the included 5% audit will be done per surcharge rate.

REVERSE LOGISTICS

Fixed fee per Return	\$1.40	Reship Refused Orders - Per Carton	\$2.00
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Product Group	UOM	Receipt & Verification	Return to Stock
Apparel & Accessories	each	\$0.67	\$0.25

* Receipt and verification includes an assessment of the returned goods to determine course of action.
* Repackaging, repair, refurbishment done at NRI Hourly Rate, or as specified.
* 3rd party repairs/projects billed as charged.

STORAGE SERVICES

Monthly Minimum	\$0.00
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Product Group	UOM	<180 Days	180-364 Days	365+ Days
Apparel & Accessories	each	\$0.05	\$0.07	\$0.11

* Storage is applied on arrival and monthly thereafter.

INVENTORY COUNT OPTIONS

Count Program Options	Frequency	Rate	Acknowledgement
Cycle Count Program	1 full cycles(s)/yr	per hour	Client Initials ND

* One annual cycle min of inventory count is mandatory to adopt. If additional cycles are preferred, please indicate # of cycles/yr (1, 2, or 4)

FREIGHT SERVICES

Description of Merchandise	UOM	Rate	Acknowledgement
Shipping on NRI Carrier Accounts*	Per Order	NRI Discounted	Client Initials ND
*Services quote as provided requires default shipment method on NRI freight accounts			
Shipping Guarantee Program	Per \$100 Order Value	\$0.35	Client Initials

SETUP & ADMIN

MATERIALS

Onboarding & Integration	----- N/A -----	Shipping Materials	Market Rates
Monthly Account Management	\$250.00	Pallets (billed on receipt)	Market Rates
Monthly Systems Maintenance	\$500.00	Branded Client Poly-Mailer Usage	\$0.05
		Client Carton Re-Use & Branded	
		Carton Usage	n/a

NRI initials

Client Initials

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ADDITIONAL CLIENT SERVICES		
<i>Description</i>	<i>UOM</i>	<i>Rate</i>
Warehouse Hourly Rate	per hour	\$47.25
Service Center Hourly Rate	per hour	\$47.25
Data Entry Hourly Rate	per hour	\$47.25
IT Hourly Rate	per hour	\$200.00 (\$700 min/ticket)
Physical Counts & Cycle Counts	per hour	\$47.25
Value Added Services		
Ticketing (Labeling) & Removing Price Tickets (Stripping)	per hour	\$47.25
Polybagging & Polybag Removal	per hour	\$47.25
Hanger Removal & Hanger Insertion	per hour	\$47.25
Removing Straps from Master Cartons	per carton	\$0.25
Marketing Inserts	per insert	\$0.10
Integrated Commercial Invoice Generation	per shipment	\$1.00
Integrated Commercial Invoice Maintenance	per edit	\$5.00
Pallet storage (non-standard products)	per pallet	\$35.00
<i>*includes client branded shipping materials, tradeshow items, etc. NRI has limited pallet storage space and excess needs will be discussed if off-site storage is required.</i>		
Shipping Services		
Pack and Hold Requests	per shipment	\$4.00
Additional Compliance Prep and Routing	per shipment	Hourly
Pallet Wrap/Prep/Header/Materials	per shipment	Hourly
Dangerous Good Handling	per shipment	Hourly
Manual Waybill	per shipment	\$12.00
Ship Collect - integrated carrier	per carton	\$1.25
Ship Collect - non integrated carrier	per shipment	\$12.00
Unreleased Order Cancel or Modification	per order	\$2.00
Shipment Cancellation	per shipment	\$10.00
Pre-Printed Return Label	per label	\$0.20
Rush Shipment	per shipment	\$10.00
Call Tags	per shipment	\$5.00
COD Clerical Fee	per shipment	\$4.50
EDI Services		
EDI Labels	per carton	\$1.00
EDI Exchange - when NRI is the EDI acct. host	per trading partner/month	\$50.00
EDI Exchange - when NRI is the EDI acct. host	per document	\$1.00

FULFILLMENT & RETURNS - POP/Displays/etc.			
<i>Description of Merchandise</i>	<i>Receiving & Restocks</i>	<i>Outbound & Returns</i>	<i>Storage</i>
<i>Small POP (<1.0 cubic foot/item)</i>	\$0.18	\$0.55	\$0.11
<i>Medium POP (1.0-3.0 cubic feet/item)</i>	\$1.10	\$1.10	\$1.10
<i>Large POP (3.0-10.0 cubic feet/item)</i>	\$4.40	\$4.40	\$6.50
<i>X-Large POP (10.0+ cubic feet/item)</i>	\$11.00	\$7.75	\$13.00

** Dated POP inventory exceeding 180 days, 365 days and 450 days on-hand will be invoiced at 50%, 100% and 200% respectively.*

NRI initials	Client Initials
	ND

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FULFILLMENT SERVICES - DETAILS & SURCHARGES

Client Inbound Activity	
Mixed SKU Carton Repack	\$0.18/unit
Audit Beyond Included 5%	\$0.18/unit
Courier Non-Compliance	\$5/carton/day
LTL Non-Compliance	\$315/shipment
LTL Non-Compliance	\$0.15/carton/day

Client Outbound Activity	
Packed Order Exceeding 10 Days on Dock	\$0.30/carton/day

STORAGE SERVICES- DETAILS & SURCHARGES

Client Storage Activity	
Avg. onhand units/month	380,000
Max onhand units/month	550,000
Max active SKUs onhand	5000

Storage costs estimated on client-provided data and reviewed monthly. Storage is calculated on the number of pick faces required to organize goods for efficient order picking. Excess onhand inventory creates thruput challenges which are addressed by additional invoice surcharge if situation occurs. Average onhand is reviewed quarterly for accuracy.

Title:

Name:

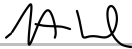
Signed:

Dated:

Company: Tentree International

Title: COO

Name: Scott Van Doormaal

Signed: 

Dated: 2025/03/06

IMPORTANT INFORMATION

- *Insurance on inventory is not part of this quotation. You must provide inventory insurance on all product stored or distributed through NRI facilities. This can be done by adding our locations in a rider to your existing insurance.
- * Services not listed require client approval and will be billed at the hourly labor rate or quoted on an ad hoc basis.
- * By signing and returning this Service and Rate Agreement you are agreeing to NRI's Standard Terms and Conditions.
- * Rates will be reviewed and subject to GRI annually coinciding with the date shown in top right corner of this rate agreement.

NRI initials

Client Initials 

SERVICES AND RATES AGREEMENT – SUPPLEMENTARY

These Terms and Conditions for Fulfillment Services describe the terms under which NRI Distribution Inc. (NRI), a British Columbia corporation and having a principal business address at 8175 Dallas Drive, Kamloops, BC V2C6X2 will provide certain order fulfillment and related services to the client (the “Client”) named on the Services and Rates Agreement (the “Agreement”) to which these terms and conditions are attached.

1. **Rates and Service Standards** – NRI agrees to provide the specific services required by the Client. Service Standards and Rates are outlined in the [Services and Rates Agreement](#) and are based on the forecasts provided to NRI by the Client. NRI will provide additional services not specified in the [Services and Rates Agreement](#) and/or for activity outside the Client's forecast. Fees for these additional services shall be charged at the hourly rate in the [Services and Rates Agreement](#), or as quoted on a case-by-case basis. In the event that volumes are 25% or more above or below the Client's forecast for any consecutive 3-month period, NRI reserves the right to adjust quoted rates in the [Services and Rates Agreement](#) to reflect the change in forecasted volumes. NRI reserves the right to adjust rates to the extent warranted upon reasonable notice, due to extraordinary events resulting in the increases in the cost of labor, materials, freight rates or overhead. Rates will be reviewed and subject to a General Rate Increase annually coinciding with the agreement anniversary date. NRI will deliver revised [Services and Rates Agreement](#) to the Client in advance of anniversary date clearly outline the updated rates.
 - a. **Receipt and verification of goods** – The Client will provide NRI with advance notice of inbound shipments as detailed in the [NRI Client Guide](#). NRI will accommodate, verify, and receive all inbound shipments within the times agreed to in the [NRI Client Guide](#). Receiving materials, where necessary, will be sourced by NRI and provided to the client at competitive market rates. NRI will provide the Client, within one business day from completion of the receiving process, detailed receiving confirmations indicating; goods received, variances, any apparent damage, and NRI fees.

Level of Verification

Verification level of inbound goods, unless otherwise requested in writing, shall be a Random Sampling of 5% of full cartons to be opened and verifying the item and quantity in those cartons. All mixed cartons are opened and verified. Should variances in expected quantities be encountered, the percentage of cartons opened and verified will be increased at intervals of 10%, 20%, 50%, 100% as per rates detailed in the [Services and Rates Agreement](#).

NRI requires all inbound deliveries to be scheduled. Scheduling guidelines can be found in the [NRI Client Guide](#).

- b. **Quality Control** – NRI may provide, on request, Quality Control checks that verify quality of manufacture pursuant to the frequency, quantity and specification requested by the Client in advance and detailed in an Addendum. Specific requests for Quality Control checks will be completed if NRI has the equipment and resources to perform the tests required to confirm the goods meet the expected level of manufacture. Fees for these services shall be charged at the hourly rate in the [Services and Rates Agreement](#)
 - c. **Tagging and Labeling** – NRI will provide retail tagging and labeling services for goods without proper identification markings and/or as required by the Retailer as per the [Services and Rates Agreement](#).

- d. **Storage** – NRI will ensure that reasonable care and diligence is provided for goods stored within NRI facilities as required by the laws of the state where the goods are stored. NRI provides secure storage for goods held on behalf of the Client. All facilities have fire suppression systems including sprinklers and fire/intruder alarms with independent security companies providing 24-hour monitoring. Storage fees will be charged as per the [Services and Rates Agreement](#). Storage is charged upon receipt of goods and in advance monthly. Reports detailing inventory onhand are available through the NRI Client portal for viewing at any time. Goods stored are **not insured** by NRI and liability is limited as defined under [Limits of Liability](#). The Client is required to provide storage insurance on all goods stored in NRI facilities and transit insurance on shipments and returns destined to NRI. Unless specifically guaranteed through NRI, insurance on all incoming and outgoing goods is limited to the terms of coverage provided by the applicable carrier.
- e. **Shipping and Delivery** – NRI will ensure all orders are packed accurately, with sufficient packaging and are shipped pursuant to the Clients' Credit Terms and Clients' Shipping Instructions, or as requested by the consignee. Packing materials will be sourced by NRI and provided to the client at competitive market rates. NRI will provide the Client, within one business day of shipping, detailed shipping confirmations indicating the Clients' Credit Terms, Clients' Shipping Instructions, goods and quantities shipped, NRI fees, package identification numbers, weight and freight charges.
- f. **Returns and Warranty** – NRI will accommodate, inspect, and receive returned and defective goods within the Levels of Warranty Inspection outlined in the [NRI Client Guide](#). NRI will provide the Client, within one business day from completion of inspection, a detailed return report indicating; the goods returned, the level of warranty inspection, any actions taken or recommended, replacement/repaired goods shipped, NRI fees, and other charges.

Returned goods may be stored for secondary examination by the Client or authorities for possible duty drawback. Final disposition of goods may include return to the manufacturer for credit or destruction and disposal pursuant to the instructions of the Client. Storage fees as they apply to other goods apply to all returned goods.

Non-e-commerce returns are to be delivered to NRI with the following guidelines adhered to:

- RA number marked clearly on the outside of the carton(s) and on paperwork inside.
 - Number of carton(s) marked on each carton (i.e. 1/4, 2/4, 3/4, and 4/4).
 - Carton contents are exactly what was communicated to NRI.
 - All store tags removed.
 - Original manufacturer tags attached and complete
 - All security tags removed.
 - No mixed RAs per carton
- g. **Freight Charges** – NRI provides freight services through a variety of partners. Incoming goods may be shipped on the account of NRI with freight charges being billed to the Client on a per shipment basis as reported on receipt confirmations. Outgoing goods will be shipped on the account of NRI, unless otherwise agreed upon, with freight charges being billed to the Client on a per shipment basis as reported on shipping confirmations. Collect and third-party billing shipments are shipped FOB the NRI warehouse and NRI cannot provide any assistance in tracking, tracing or claims resulting from loss or damage during shipping.
- h. **Shipping Guarantee Program** – NRI will provide loss and/or damage coverage up to the transaction value, as transmitted to NRI in client's order file, of the outgoing shipment at rates defined in the [Services and Rates Agreement](#). Maximum liability is limited to \$5,000 per incident. Claims must be submitted within 10 business days of the due date of the shipment, per carrier's estimated delivery

date, for loss claims, and within 48hr of arrival for damage claims. NRI reserves the right to modify rates based on claim frequency. Shipments shown as fully delivered by the carrier will not be applicable for coverage under the Shipping Guarantee Program.

- i. **Insurance** – NRI shall maintain customary policies of liability insurance with policy limits consistent with all legal requirements and industry practices. Upon written request, NRI shall provide evidence of insurance coverages. NRI does not arrange for first-party cargo insurance for Client's Goods at any time unless expressly requested by Client in writing.
- j. **Inventory Counts and Verification** – NRI can provide complete and partial physical inventory counts – at the cost of the client – given a minimum of 60 days' notice or as scheduled. The Client will provide NRI with a fiscal inventory count schedule if required. NRI can also complete cycle counts in addition to or in lieu of physical counts on a scheduled basis based on the rates, frequency and volumes outlined in the [Services and Rates Agreement](#). NRI requires that the Client adopt, at minimum, one method (cycle count or full physical) of inventory count per year. Onhand inventory reports not supported by a physical count are available upon request by the Client as well as through the online Client Portal at no cost to the Client.
- k. **Information Technology and Systems Integration** – NRI has developed proprietary software to manage its operation. The NRI database contains a vast amount of information including data on all items to be handled by NRI and all customers that NRI will ship to on behalf of the Client. NRI will provide custom reports to the Client as required. Fees for development of these reports are quoted on a case-by-case basis. Other e-commerce and computer services are available on request and as quoted including assistance in developing automated Import/Export programs to support Electronic Exchange of data. NRI allows various levels of Electronic Data Exchange which are used to determine rates and Service Standards.

Levels of Electronic Data Exchange:

- i. Full automation includes complete integration of the NRI computer system with the Client's system. All data sent by the Client to NRI is exchanged via API or in the form of an electronic file and is imported automatically into the NRI database. All confirmations and data sent from NRI to the Client is exchanged via API or also in an electronic file format and can be imported automatically into the Client's system.
 - ii. Limited exchange involves only select data being sent by the Client to NRI in an electronic file format for automatic import into the NRI system.
 - iii. Manual processing involves exchanging data in a printed format to be manually entered into the NRI system.
2. **Payment** – All invoices are due as per the terms specified in the [Services and Rates Agreement](#) based on the invoice date. All outstanding balances not settled by the due dates specified on the issued invoices shall incur a late fee of 2.5% calculated on the total issued invoice amount. "Settled" defined as electronic payment received by NRI on or before the specified due date; or physical receipt of payment by check on or before the due date. Failure to remit payment of late fees may also result in the suspension of services on the account. Past due balances not resolved within 30 days are subject to additional fees. This is in addition to any legal rights and remedies available to NRI. All advances and charges are due and payable prior to delivery of the stored goods. Further, in the event of non-payment per payment terms specified in the [Services and Rates Agreement](#), NRI reserves its right to withhold services or, under the Warehousemen's Lien Act, put a lien upon, and security interest in, all goods of the Client, at any time heretofore and hereafter, deposited by the Client, in any warehouse owned or operated by NRI. Such lien and security interest shall be for all charges, advances, and expenses in relation to such goods of the Client including without limitation, damaged caused by such goods, whether or not heretofore released from the warehouse. Further, in the event of nonpayment

of any such amounts, NRI has the right, after reasonable notice, to sell, or otherwise dispose of, the goods in any manner NRI may think fit to satisfy the lien. NRI will not subordinate its lien rights to any agreements entered into by the client with any bank or lending agent including but not limited to Warehouse Waivers or Bailee Agreements.

3. **Service Levels** – NRI establishes Service Level standards, as detailed in the [NRI Client Guide](#), based on information provided by the Client. This information from the Client must include an estimate of the overall volume to be handled within a given season or year and a schedule of inbound and outbound shipments. Service Levels are established to provide a minimum standard to which NRI will perform and define specific time frames within which services will be completed, and/or average minimum volume levels to be handled daily, weekly or monthly. The ability of NRI to perform within these Service Levels is contingent upon many factors beyond the control of NRI which include, but are not limited to; the Client's Forecast, re-prioritization of orders, pre-notification, product marking, electronic data exchange, and failure of an independent service partner to perform according to their Service Levels. In the event that NRI does not operate within the Service Levels, it is agreed that all parties will take the steps necessary to enable NRI to perform within the specified standards. NRI will utilize Client seasonal item master and inbound data to lay-out SKU level footprint to support achieving service level expectations. In-season, restocking of this layout, after initial new inbound put away, will require Replenishment activity, billed in accordance with the [Services and Rates Agreement](#).
4. **Communication and Pre-notification** – Communication between NRI and the Client should be written or electronic. NRI shall not be responsible for errors resulting from verbal or telephoned instructions. The Client will provide complete Item Master data and updates prior to the arrival of any goods. Customer Master Data including shipping addresses, telephone numbers and contacts are also required and must be updated before shipping can begin. Pre-notification for inbound shipments must include detailed packing lists, the carrier, and an estimated time of arrival. Pre-notification for outbound shipments must include detailed picking lists and shipping instructions.
5. **Client's Forecast** – In order to support NRI's ability to operate within the Service Levels established, the Client acknowledges that accurate information pertaining to the volume and timing of the movement of goods within the supply chain is essential. NRI relies upon this information to schedule staff and resources needed to handle goods in an efficient manner. Forecast information is to be provided annually, updated quarterly, and revised monthly - one month in advance of activity. Forecasts must include unitary details of goods for the inbound shipping schedule; booked, at-once, e-commerce, drop-ship, and close-out sales for the outbound shipping schedule; and anticipated wholesale and consumer returns. It is the Client's responsibility to notify NRI immediately upon becoming aware of any changes to the volume or timing of movement of goods within the supply chain. Variances exceeding +/-15% in the volume or timing of the movement of goods within the supply chain as provided in a qualified forecast, and/or failure to notify NRI of changes may result in changes to the Service Levels and/or additional fees, at the hourly warehouse labor rate per the [Services and Rates Agreement](#), to cover costs incurred in recruiting and/or moving labor to satisfy the variance to forecast. Client agrees to cover short-term recruitment, training, pre-peak inventory preparation, and additional hours costs as required to achieve agreed upon production target during compressed Peak activity periods (increase of 25% or greater trailing 3-month daily average).
6. **Product Identification, Carton Markings and Packaging** – It is the Client's responsibility to ensure that adequate carton markings and product identification tags are on all goods. NRI's ability to handle the goods accurately and efficiently is dependent upon easy product identification. The quality of product identification and the use of UPC or EAN numbers affect Service Standards. Product Identification Tags must be at least 1" x 2" and font size must be at least 19 points. Carton Identification Markings must be 4" x 2" and font size must be at least 24 points. NRI will produce and apply identification tags at the

Client's expense to all goods without proper identification. The Client must provide packaging adequate for shipping or ensure that goods are in shippable packages.

7. **Shrinkage Allowance** – NRI will be entitled to a shrinkage allowance based on the actual cost of the Products that are lost, misplaced, stolen, destroyed or damaged ("Non-Recoverable Inventory") for any reason while under NRI's care and control in the Fulfillment Center (the "Shrinkage Allowance").

Products that: (i) do not arrive at the Fulfillment Center; (ii) arrive damaged at the Fulfillment Center; (iii) are not properly labeled or packaged on delivery to the Fulfillment Center; (iv) are damaged or lost in shipping or return; or (v) are otherwise lost, misplaced, stolen destroyed or damaged other than while in NRI's care and control in the Fulfillment Center shall not be considered "Non-Recoverable Inventory" for purposes of calculating the Shrinkage Allowance, and NRI shall have no liability to Client for such Products.

The Shrinkage Allowance will be calculated based on the manufactured cost of the Products as set forth on the Item Master provided by Client. The Shrinkage Allowance shall be one-half of one percent (0.5%) of the total value of Products that were processed (Received + Returned + Shipped over 12-months) at the Fulfillment Center during the applicable measured twelve-month period. For purposes of calculating the Shrinkage Allowance, the initial measured twelve-month period shall commence on date specified on the Services and Rates Agreement and repeat annually on an ongoing basis.

- a. An annual inventory may be conducted by NRI, at Client's expense. NRI will report the results of its physical inventory to Client in writing within 3 days of completion of the physical inventory. Client will have thirty (30) days following its receipt of the written results of the annual physical inventory to present a claim for reimbursement for losses of Non-Recoverable Inventory in excess of the Shrinkage Allowance. Any claim not presented within that time period shall be deemed waived. Should the client choose not to conduct an annual inventory or corresponding cycle count program, the Client waives their right to claim reimbursement for losses of Non-Recoverable Inventory in excess of the Shrinkage Allowance.
- b. Except for claims for Non-Recoverable Inventory in excess of the Shrinkage Allowance or claims that result from the gross negligence or willful misconduct of NRI in performing the Services, NRI shall have no liability to Client for loss or damage to the Products. The foregoing shall not limit NRI's obligation to indemnify Client for third party claims under the Terms and Conditions.
8. **Move Costs** – If the Client outgrows their planned physical footprint at NRI, NRI will partner with Client on revised needs and support implementing a solution to address. Any adjusted Storage, labor and transportation costs incurred in this regard will be at the Client's expense.
9. **Vendor Chargebacks** – NRI requires all retailer documentation and justification for any chargeback issued in relation to services provided by NRI. The Client must provide this information within 30 days of receiving said chargeback from their customer AND within 90 days of the order ship date from NRI. NRI will approve any chargeback claims based solely on the details provided. Approved claims will result in the lesser of the claim amount or the handling fees charged on the order in question being credited to the Client on their next invoice. Client agrees to not withhold payment of open invoices and acknowledges that all Vendor Chargebacks will be resolved via a credit memo to be applied to amounts owing upon approval. NRI has set a maximum limit of liability with regards to Vendor Chargebacks to not exceed 5% of invoiced handling fees on a rolling 12-month period.
10. **Notice of Claim** – NRI is not liable for any loss, damage, or delay to any goods except as outlined within these Terms and Conditions, and at all times will be subject to NRI's [Limits of Liability](#). Notice of Claim for loss or damage must be made in writing within 30 days of the Client becoming aware of such loss

or damage and must include details specifying the goods lost or damaged and an estimate of the amount of the claim.

11. **Force Majeure** – “Force Majeure Event” means any event beyond a party’s control including, without limitation, acts of war, acts of public enemies, terrorist attacks, governmental orders relating to the foregoing, insurrections, riots, sabotage, earthquakes, floods, acts of God, pandemics, embargoes, authority of laws, labor disputes, strikes, lockouts, job actions, boycotts, fires, explosions, or failure in electrical power, heat, light, air conditioning, or communications equipment. To the extent that either party’s performance, except payment obligations, is precluded or delayed by a Force Majeure Event, such performance shall be excused for the time necessitated by such Force Majeure Event.
12. **Rate Adjustment** – NRI reserves the right to adjust rates to the extent warranted as a result of increases in the cost of labor, materials, freight rates or overhead; or because of taxes or other charges imposed by governmental authorities upon the production or sale of such products or upon energy or materials used in the manufacture thereof. Discount provisions otherwise applicable shall continue in force even though the prices may be changed. Price increase shall take effect after written notice to Client and shall apply to all services specified in written notice while such increased prices remain applicable.
13. **Legal Fees** – Client shall bear the responsibility for any legal fees incurred in the review of documents or agreements pursued by clients outside the scope of NRI’s standard Rate Agreement and Terms and Conditions. This includes, but is not limited to, Bailee Waivers, Warehouse Waivers, and any proposed amendments or addendums to service agreements initiated by clients, among others.
14. **Certification Requirements** – Client is obligated to furnish regular copies of certifications necessary for the sale of goods in North America. This requirement encompasses, but is not limited to, Certificates of Compliance (COC) and compliance with the Consumer Product Safety Improvement Act (CPSIA).
15. **Limits of Liability** – Without limiting the generality of the foregoing, it is specifically declared that:
All goods are stored at the Client’s risk of loss, damage or delay in delivery caused by inaccuracies, obliteration or absence of marks, numbers, address or description, acts of god, irresistible force, strikes, picketing or any other labor trouble, water, steam, sprinkler leakage, floods, rain, wind, storm, fire, frost, vermin, heating or corruption, deterioration, drainage, dampness, rust, decay, collapse of the building, inevitable accident, depreciation or perishing by elapse of time, changes in temperature, contact with or odors from other goods, inherent defects, lack of any special care or precaution, injury to articles insufficiently protected or arising from the nature of the goods, loss in weight, insufficient cooperage, boxing, crating or packing, ordinary wear and tear in handling, leakage, concealed damage or any cause beyond the control of the company or failure to detect any of the foregoing. All storage and other applicable charges must be paid on goods stored for an additional time, or lost or damaged by any of the above causes.

The legal liability of NRI shall be strictly limited to the lesser of the monetary amount of the damage incurred or a maximum of 10 times the outbound handling rate per unit unless the Client specifically requests a higher limit in writing and declares an excess value, in which case NRI may, at its option, accept the liability and assess an additional charge to the monthly storage or other applicable rate.

Liability for failure to pick up payment from the consignee and/or deliver payment to the Client shall be limited to the liability of the carrier that delivered the goods. Compensation for failure to pick up or deliver payments will be made upon settlement of the claim with the carrier.

Client’s Shipping Instructions will be followed if possible. If specific carriers or services are requested that are not available, NRI may hold the shipment until adequate clarification is provided from the Client or may ship using the carrier and services, which in the opinion of NRI, are most compatible or best meet the shipping requirements. Shipping instructions may include a specific Carrier and/or

Service. All other special instructions are subject to the ability of the carrier to provide the service requested and NRI accepts no responsibility in ensuring that the Carriers interpretation of the requested service is consistent with that intended by the Client.

Liability for errors in shipments shall be limited to the NRI fees and transportation costs involved to rectify the error, and shall not under any circumstances, include liability for damages due to acceptance or use of the goods, nor shall NRI be liable for the collection of moneys in regard to those goods.

16. **Independent Contractor** – NRI is an independent contractor. All NRI personnel who will be performing Fulfillment Services are and shall be considered employees of NRI, under its exclusive control and management. Under no circumstances are they or shall they be considered employees of Client. NRI shall indemnify and hold Client harmless from any liabilities, expenses, or claims relating to wages, salaries, benefits, taxes, claims, or other payments to, or as to, employees of NRI. Except as set forth in a duly authorized power of attorney, NRI shall not hold itself out as an agent of or in a joint venture with Client, and NRI shall have no authority to act on behalf of Client.
17. **Employees** – NRI and Client shall not solicit for employment or employ any of each other's employees, except for employees terminated by the other party, during the term of, and for a period of one (1) year following termination of this Agreement, without the written permission of the other party. A general notice of an employment opportunity, such as an advertisement in a newspaper or web-based job search site, shall not be deemed solicitation for purposes of this section. If either party were to violate this section, then the breaching party shall remit to the other party a sum in an amount equal to the subject employee's salary and cost of benefits over a six (6) month period, in addition to and not in lieu of other remedies at law or in equity.
18. **Confidentiality** – It is understood that during the normal course of business that NRI and the Client may have access to, or become aware of information, trade secrets or other data that may be considered confidential. Confidential information is any information relating to either company and its business and operation which is not generally known except by the company and third parties subject to an expressed or implied obligation of confidentiality. Without limiting the generality of the above, confidential information may include products and product specifications, trade-secrets, pricing, distribution systems, freight rates, manufacturing processes, financial information and other purchasing and sales information. Both parties agree to treat this information as confidential and to make every reasonable effort to ensure the information is kept secret. By initialing you are accepting NRI's Confidentiality statement as equivalent to a non-disclosure agreement (NDA).

Initials: ND

19. **Definitions**

- a. "NRI" means NRI Distribution Inc, their employees, servants, successors, and assigns.
- b. "Client" means the owner of the goods or the party for whose account the goods are stored.
- c. "Agreement" references the Services and Rates Agreement.
- d. "Goods" means the goods or packages containing them that are described on the face of the Receipt.
- e. "Receipt" means this non-negotiable warehouse receipt to which these Terms and Conditions are attached, and which acknowledges in writing NRI's receipt for storage of Client's Goods.
- f. "Customer" means a customer of the Client.
- g. "Retailer" means a retail business that is a customer of the client.
- h. "Warehouse Facility" means the warehouse premises of NRI.

20. Term and Termination

- a. **Term** – This Agreement shall commence on the effective date listed on the [Service and Rates Agreement](#) and will remain in effect until the termination (end) date listed on the [Service and Rates Agreement](#), including any renewal periods properly exercised, unless earlier terminated in accordance with the terms of this Section (the “Term”).
- b. **Termination** – This Agreement may be terminated by a non-breaching party prior to the end of the Term for Cause. For purposes of this Agreement “Cause” shall be defined as: (1) a monetary breach of this Agreement, which is not cured within five (5) days from the date of delivery of written notice by the non-breaching party; (2) a material, non-monetary breach of this Agreement which is not cured within thirty (30) days from the date of delivery of written notice by the non-breaching party; or (3) any notice of intention is filed or any proceeding or filing is instituted or made against a party in any jurisdiction seeking to have an order for relief entered against it as debtor or to adjudicate it bankrupt or insolvent, or seeking liquidation, winding-up, reorganization, adjustment or composition of it or its debts under any law relating to bankruptcy, insolvency, reorganization or relief of debtors unless the same is being contested actively and diligently in good faith by appropriate and timely proceedings and is not dismissed, vacated or stayed within forty-five (45) days of institution thereof.

This Agreement may be terminated by either party prior to the end of the Term for Convenience with one hundred eighty (180) days notice.

Notice of non-renewal by either party must be given with one hundred eighty (180) days’ notice. Absence of notification of non-renewal will indicate intention of renewal and follow all relevant processes outlined in this document.

- c. **Effect of Termination** – Upon notice of termination: (a) NRI will complete all obligations to provide Services prior to the effective date of such termination, and shall prepare and submit to Client an itemization of all completed and partially completed Services; and (b) Client shall provide written instructions to NRI as to the disposition of Products that remain in NRI’s possession. NRI shall be entitled to hold all Products in its possession until all outstanding invoices, charges, expenses, and fees due to NRI are paid in full. NRI shall be entitled to maintain a **minimum 10:1** ratio of inventory value **as outlined in item master** versus amounts owed. Requests by Client to ship inventory may require prepayment of fees to maintain this threshold. The disposition of such Products shall be at Client’s expense at the established agreement rates. On or before the effective date of termination, each party shall immediately return to the other party all Confidential Information of the other Party in its possession or control.

21. Indemnification and Procedure

- a. **Indemnification by Client** – Client will indemnify, defend and hold harmless NRI and its directors, officers, employees, stockholders from and against third-party claims, suits, actions, proceedings, judgments, damages, costs, debts and/or liabilities (including reasonable lawyers’ fees and disbursements) based on or arising from: (i) any breach of any representation or warranty of Client; or (ii) any damage to property or personal injury caused by the Products or any product liability claims related thereto.
- b. **Indemnification by NRI** – NRI will indemnify, defend, and hold harmless Client against third-party claims, suits, actions, proceedings, judgments, torts claims, damages, costs, debts and/or liabilities (including reasonable and documented third party legal fees and expenses) based on or arising from: (i) any breach of any representation or warranty of NRI; or (ii) any material damage directly caused by NRI’s negligence or misconduct in performing the Services hereunder, provided,

however, that NRI has been given a cure period of at least ten (10) days with respect to the activity that serves as the basis for the claim.

- c. **Procedure** – If a third-party claim is brought against a party entitled to indemnification hereunder, it shall promptly notify the indemnifying party in writing, and the indemnifying party shall be entitled to assume sole control of the defense thereof, provided, however that neither party shall be relieved of its indemnification obligations hereunder due to the failure of the indemnified party to provide prompt notice of an indemnification claim, unless such failure to provide prompt notice prejudices its ability to indemnify. An indemnifying party shall not, without the prior written consent of the indemnified party, effect any settlement of any pending or threatened proceeding in respect of which any indemnified party is a party and which is subject to indemnification under this Agreement.

22. **Agreement** – This Agreement constitutes the entire agreement of the Parties with respect to the subject matter hereof. This Agreement may only be amended by a writing signed by authorized representatives of the parties. The Service and Rates Agreement shall be signed by an authorized representative of each of the parties, which shall constitute acceptance of these Terms and Conditions. The Service and Rates Agreement may be executed in counterparts.

23. **Jurisdiction** – all agreements, terms, and conditions shall be governed by and construed in accordance with the laws of the jurisdiction in which goods are serviced and stored.

NRI Distribution Inc

Title: _____

Name: _____

Signed: _____

Dated: _____

Accepted By

Company: Tentree International

Title: COO

Name: Scott Van Doormaal

Signed: AWL

Dated: 2025/03/06